

Activity 2: Create a SaaS Renewal Team Mandate

TSC mapping: K2 | A2 | A3 Objective: Assign negotiation roles, decision rights and escalation rules for a cross-functional software renewal. Expected output: A one-page negotiation mandate plus a named role and escalation table. Primary source: <https://builtin.com/articles/negotiation-skills>

Goal

Prepare an internal team to renegotiate a customer-relationship-management platform used by Sales, Service and Finance.

Real-world scenario

Real-world use case: SaaS renewals require commercial, technical, legal, security and end-user decisions. The company and figures are fictional training inputs.

Northstar Distribution's CRM subscription renews in 30 days. Sales wants advanced automation, IT wants fewer integrations, Security needs stronger incident notification, Finance wants a cap on annual increases, and Legal must approve data-transfer terms. The vendor account director can offer discounts but needs regional approval for liability changes.

Evidence boundary

The business setting is a realistic composite. Numerical and organisational inputs created for practice are labelled as training assumptions and must not be presented as real company facts.

Training assumptions / guardrails

- The current annual contract value is SGD 240,000 for 300 users.
- Forty-five licences are inactive; migration to an alternative takes four months.
- The CFO may approve up to SGD 255,000 if three defined risk controls are included.
- Only Legal may accept changes to liability, data location or termination language.

Questions

1. Who owns the commercial outcome and who can bind the organisation?
2. Which specialists must attend, remain on call or review offline?
3. What commitments can the lead make without escalation?
4. How should the team handle internal disagreement during the vendor meeting?

Detailed activity procedure

Step 1: Map stakeholders

Identify sponsor, lead, users, technical specialists, approvers, blockers and implementation owners.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 2: Define roles

Assign lead negotiator, commercial analyst, technical expert, legal adviser, observer/recorder and executive sponsor.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 3: Set authority

Create green, amber and red zones for terms the team may agree, conditionally discuss or never commit without approval.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 4: Align priorities

Run a pre-brief that ranks issues and resolves conflicting internal success measures.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 5: Design meeting behaviour

Agree speaking order, pause signals, sidebars, note ownership and how questions outside the mandate will be handled.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 6: Create escalation protocol

Name the decision-maker, evidence required, communication channel and response time for each amber item.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Deliverable

A one-page negotiation mandate plus a named role and escalation table.

Acceptance criteria

Every critical issue has one accountable owner, one decision authority and one escalation route; no participant has conflicting authority.

Reflection and debrief questions

1. Which assumption changed your negotiation plan most, and why?
2. What evidence would you request before relying on the result?
3. Which stakeholder owns the next decision or approval?
4. What would you repeat or change in the next negotiation?

Source note

Source accessed 15 August 2026: <https://builtin.com/articles/negotiation-skills>